Business Analytics Report

Executive Summary

This report presents findings from a full-year (2025) analysis of ShopSmart's retail operations. Using 50,000 order records, 500 products, 25 stores, and 5,000 customers, revenue concentration patterns, performance outliers, and operational risks were identified. Total revenue from 16,529 completed orders was ₦2,496,824,383, with an average order value of ₦151,057. Inventory value sits at ₦3.17 billion higher than annual revenue.

Three Key Findings

1. Revenue is geographically concentrated: The South region dominates with ₦805,370,701 (32.3% of total revenue), led by ShopSmart Lagos (₦419,568,251) and Ibadan (₦408,589,880). The West region trails at ₦389,023,533 (15.6%). This suggests uneven market penetration and dependence on a few high-performing stores.

2. Beauty is the highest-revenue category, but also the most-returned: Beauty generated ₦580,991,275 (23.3% of total revenue) and holds 5 of the Top 10 products. However, it also recorded 614 returns (24.6% of all returns) the highest of any category. This signals a product quality or customer expectation gap in the Beauty line.

3. A small number of products drive a disproportionate share of revenue: The Top 10 products generated ₦77,957,115 (~3.1% of total), with Beauty Item 210 leading at ₦8,075,117.

Three Business Recommendations

1. Prioritize restocking at low-inventory stores: Stores Awka (4,357 units), Enugu (6,178), and Abeokuta (6,638) hold less than 18% of Lagos's stock (22,255 units). Implement an automatic reorder alert when stock on hand falls below reorder level.

2. Investigate Beauty product returns: 614 returns in Beauty represent a measurable margin loss. Conduct a product-level return audit, review supplier quality, and adjust according to the complaints received.

3. Capitalize on December seasonality: December 2025 delivered the highest monthly revenue (₦224,707,991), ~18% above the February low (₦189,830,041). Plan inventory and promotions to amplify this trend specifically pre-stocking Beauty and Electronics, which historically spike during the holiday period.

Key Risk

Inventory value (₦3.17 billion) exceeds annual revenue (₦2.50 billion): This implies ~15 months of stock on hand at cost. If sales slow, this could create cash flow pressure. A stock ageing analysis is recommended to identify slow-moving items before further purchase commitments.

Key Opportunity

The West region is underexploited: At ₦389,023,533 (15.6% of revenue), the West lags behind South (32.3%), East (27.8%), and North (24.4%). Targeted marketing or a new store in the West could unlock additional revenue.

Conclusion: ShopSmart has a strong revenue base, clear category leaders, and identifiable growth markets. The priority actions are: address the beauty product return issue, tighten inventory management, and expand West-region reach. Each of these could materially improve both revenue and margin in the next fiscal year.

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Prepared using: Excel, Pivot Tables, XLOOKUP, and interactive dashboards from 50,000 order records.
Analysis Period: 2025
Submission Date: 19/Oct/2026